

ORIGINAL

(S E R V E D)
(July 19, 2004)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D. C.

July 19, 2004

DOCKET NO. 04-07

TRANS-NET, INC.

v.

FESCO OCEAN MANAGEMENT LIMITED

PROCEDURAL SCHEDULE ESTABLISHED

Counsel for the parties have conferred and agreed upon a schedule to govern the early phase of this proceeding. (See letter dated July 16, 2004, from Paul D. Coleman addressed to this judge.)

I have examined the schedule and approve it with the following observations.

Counsel have agreed on three main points: 1) that respondent FOML may file an answer to the complaint or a Motion to Dismiss or for Summary Judgment by August 16, 2004. If FOML files such a motion, complainant Trans-Net will reply within 30 days; 2) neither party will begin discovery against each other until after FOML files an answer to the complaint on or before

August 16, 2004, or after the presiding judge rules on the possible motions filed on or before August 16, 2004, whichever first occurs; 3) the parties agree that a Protective Order should be issued by the presiding judge in the same form as that issued in the previous Docket No. 03-08, which was dismissed.

My remarks concern the fact that complainant Trans-Net served discovery requests on FOML and subpoenas on four nonparty carriers in the aforementioned Docket No. 03-08. Because the complaint which began the instant proceeding is substantially enlarged from that which began Docket No. 03-08, the discovery that Trans-Net instituted in that dismissed proceeding might no longer be adequate or suitable to this new case which has enlarged the issues considerably. Consequently, if Trans-Net wishes to begin discovery in the instant case, it may or may not wish to modify the earlier discovery to suit the needs of the new enlarged complaint. In any event, if Trans-Net commences discovery in this proceeding it will, of course, use the correct docket number and if Trans-Net wishes to serve new subpoenas on the four carrier nonparties, it shall likewise revise them to reflect the correct docket number, select suitable return dates, and make any necessary changes to the earlier subpoenas to reflect the matters raised in the new complaint.

The parties request that I issue a Protective order in the same form as that issued in Docket No. 03-08. I am attaching such Order to this ruling.

As a final matter, I observe that the schedule contemplates the possible filing of dispositive motions by respondent FOML in lieu of an answer to the complaint. The new complaint in this proceeding considerably enlarges the issues from those framed in the complaint in No. 03-08,

invoking some 10 sections of the Shipping Act of 1984.¹ Many of the new allegations may be amenable to summary disposition by motion. However, to rule upon such motions, especially a motion for summary judgment, may require considerable time and effort and delay discovery that might otherwise commence promptly after filing of a detailed answer to the complaint. Nevertheless, FOML does have the right to seek summary disposition and I therefore leave this matter to counsel's discretion.



Norman D. Kline
Administrative Law Judge

¹Trans-Net specifies nine sections of the 1984 Act alleged to have been violated by FOML and one section of the Act (section 19(b)) implicitly, alleging that FOML operated without submitting proof of financial responsibility. See page 17 of the complaint.

APPENDIX

FMC Docket No. 04-07

TRANS-NET, INC.

v.

FESCO OCEAN MANAGEMENT LIMITED

PROTECTIVE ORDER

1. This is a protective order covering the confidential documents, data and information of Trans-Net, Inc. ("Trans-Net") and FESCO Ocean Management Limited ("FOML") in the captioned proceeding.

2. Documents, data and information produced in this proceeding which are designated as "CONFIDENTIAL" by the producing party shall be subject to this Order. The parties will not designate documents, data and information as "Confidential" except in instances of a bona fide need for confidential treatment. Such documents, data and information shall remain confidential so long as the designation is not denied or revoked by the Federal Maritime Commission or the Administrative Law Judge ("ALJ").

3. Documents, data and information containing confidential information shall be clearly and prominently marked "CONFIDENTIAL". If intended to be filed with the Commission, a copy of the document containing confidential data or information shall be submitted under seal to the Commission and the ALJ along with a copy of the document with the confidential information redacted for the public file and marked "PUBLIC". A copy of a document required to be provided to counsel of the opposing party in a filing with the Commission, through discovery or in any other respect of this proceeding and containing confidential data or information shall be served on counsel for the opposing party along with a copy of the document with the information redacted, both copies of the document marked appropriately as CONFIDENTIAL or PUBLIC.

4. The confidential documents, data and information shall be used for the purpose only of this Commission proceeding, or any judicial review proceeding arising therefrom, and not for any other proceeding at the Commission or any other forum, or for business, commercial, or other competitive purpose.

5. The confidential documents, data and information shall not be disclosed in any way or to any person without the written consent of Trans-Net or FOML or by an order of the Commission or the ALJ, except to an "eligible person". "Eligible person" means, as to bills of lading, service contracts, invoices, receipts, checks, bank statements, or financial or accounting statements or accounting reports and their contents, only outside counsel (and staff) or consultants (and staff) employed by outside counsel of parties to this proceeding; and "eligible person" means, as to agreements between Trans-

Net or FOML and any other person or persons and their contents, an officer or director of each party, outside counsel (and staff) or outside counsel's consultants (and staff) of parties to this proceeding. Such disclosure to eligible persons shall be solely for use in connection with this Commission proceeding, or any judicial review of this proceeding arising therefrom, provided that such eligible person has been given and has read a copy of this Protective Order and agrees to be bound by its terms by signing the attached "Undertaking" prior to receiving access to the documents, data or information and all such Undertakings shall be provided to the producing Party; further provided that an Undertaking signed by a consultant shall be submitted to the producing Party for review prior to the consultant receiving access to Confidential documents, data or information; and further provided that the producing Party shall raise any objection to such consultant's Undertaking within five business days after receipt of the consultant's Undertaking. For purposes of this Order, "agreement" means contract, understanding, arrangement, or association, written or oral, formal or informal, and any modification or cancellation thereof; and "person" means any natural person, firm, corporation, partnership, proprietorship, joint venture, organization, group of natural persons, or other association separately identifiable, whether or not such association has a separate juristic existence in its own right, existing under or authorized by the laws of the United States or of a foreign country. By written consent of the parties or by order of the Commission or the ALJ, confidential documents, data or information not otherwise specified in this Article 5 may be disclosed to eligible persons, in accordance with this Article 5. Notwithstanding the foregoing, copies of documents containing confidential financial information shall not be made available to any officer, director, employee or consultant of any party nor disclosed by outside counsel or outside counsel's consultants to such officers, directors, employees or agents of such Party; but copies of the redacted version of such documents may be made available to an officer or director of each party.

6. Trans-Net and FOML will destroy all documents containing the confidential data or information, and notices of such destruction must be filed with the Commission at the completion of this Commission proceeding, or any judicial review proceeding arising therefrom.

7. If any party intends to use the confidential documents, data or information at oral depositions or hearings in this proceeding, or in any judicial review proceeding arising therefrom, the party shall submit any documents setting forth or revealing such confidential data or information to the Commission, or the reviewing court as appropriate, under seal, and shall accompany such submission with a written request to the Commission or the court to (i) restrict attendance at the oral depositions or hearings during discussion of such confidential information, and (ii) restrict access to the portion of the record or briefs reflecting discussion of such confidential documents, data or information in accordance with this Protective Order.

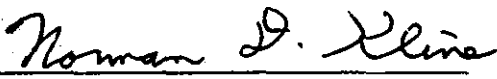
8. All parties must comply with all the provisions stated in this Protective Order unless good cause, as determined by the Commission or the ALJ, is shown by any party to warrant suspension of any of the provisions herein.

9. If any documents, data or information marked "Confidential" and submitted in accordance with this Order is disclosed to any person other than as authorized by this Order, the person responsible for the disclosure shall immediately bring all pertinent facts relating to the disclosure to the attention of all counsel in this proceeding and the Commission or the ALJ and without prejudice to other rights and remedies of the parties, make every effort to prevent further disclosure of the confidential documents, data or information.

10. Any person who has agreed to be bound by the terms of this Order, and who is determined by the Commission or the ALJ to have intentionally violated the terms of this Order causing prejudice or damage to a party to the Order may be subject, after notice and the opportunity to be heard, to one or more of the following:

- (a) An official reprimand by the ALJ or the Commission;
- (b) Temporary or permanent disqualification from practicing in any capacity before the Commission;
- (c) Referral of the facts underlying the violation to the appropriate licensing authority in the jurisdiction in which the individual may be licensed;
- (d) Payment of reasonable expenses, including attorney's fees, caused by the violation; or
- (e) Any other action as may be appropriate and ordered by the Commission or the ALJ.

So Ordered:


Norman D. Kline
Administrative Law Judge

TRANS-NET, INC.

v.

FESCO OCEAN MANAGEMENT LIMITED

UNDERTAKING

I, _____, have read the Protective Order governing the filing, submission and use of CONFIDENTIAL documents, data and information by Trans-Net, Inc. and FESCO Ocean Management Limited in Federal Maritime Commission Docket No. 03-08 and understand the same, and I agree to be bound by its terms. I agree not to use or permit the use of any documents, data or information obtained under this Undertaking and the Protective Order, or to use or permit the use of data or information learned as a result of receiving such documents, for any purpose other than the preparation and preservation of evidence and argument in FMC Docket No. 03-08 or any judicial review proceedings taken or filed in connection therewith. I further agree not to disclose any documents, data or information obtained under this Undertaking and Protective Order to any person except a person who is also bound by the terms of the Protective Order and who has executed an Undertaking in the form hereof.

(Signature)

(Title)

(Organization, Affiliation)

Dated: _____